It is a fallacy that Europe needs a strong industrial Germany.

1. The assumption sometimes made that Germany is an indispensable source of industrial supplies for the rest of Europe is not valid.

U.S., U.K. and the French-Luxembourg-Belgian industrial group could easily have supplied out of unused industrial capacity practically all that Germany supplied to Europe during the pre-war period. In the post-war period the expanded industrial capacity of the United Nations, particularly the U.S., can easily provide the reconstruction and industrial needs of Europe without German assistance.

Total German exports to the entire world in 1938 were only about $2 billion, of which machinery steel and steel products amounted to about $750 million, coal $165 million and chemicals $230 million.

These amounts are trivial in comparison with the increased industrial potential of the U.S. alone, or of the U.K. One-fifth of our lend-lease exports of 1943 would be sufficient to replace the full exports of Germany to the whole world.

2. A claim has been made that Europe is dependent upon Ruhr coal. The French-Belgian steel industry and some of the new industrial units which will arise in Europe after the war will need imported coal supplies. However, the British coal industry which suffered from German competition before the war will be able to supply a major part if not all of these needs. The coal industries of France, Poland, Silesia and the Saar are also capable of further expansion if the competition of the Ruhr is eliminated. Further supplies if necessary could be obtained from the United States though at a much higher price. The different quality of the substitute coals may require some technological changes but the adjustment can be made.

Germany had a net export of coal of 32 million tons in 1937. The difference between the British coal production in a good year and a depressed year was more than the total German exports of coal. Moreover, at no time in the last 25 years has the British coal industry worked at full capacity.

3. Germany has been important to the rest of Europe as a market principally for surplus agricultural products. In 1937 Germany's food imports from the world were $800 million, of which Europe supplied $450 million. Total German purchases of raw materials from Europe in 1937 were about $350 million. The loss of the German market will be largely compensated for by the following developments: